

1 ENGROSSED HOUSE
2 BILL NO. 4340

By: Moore of the House

3 and

4 Murdock of the Senate

5
6 [revenue and taxation - exemption - water -
7 circumstances - term - effective date]
8
9

10 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

11 SECTION 1. AMENDATORY 68 O.S. 2021, Section 1357, as
12 last amended by Section 1, Chapter 391, O.S.L. 2025 (68 O.S. Supp.
13 2025, Section 1357), is amended to read as follows:

14 Section 1357. Exemptions - General.

15 There are hereby specifically exempted from the tax levied by
16 the Oklahoma Sales Tax Code:

17 1. Transportation of school pupils to and from elementary
18 schools or high schools in motor or other vehicles;

19 2. Transportation of persons where the fare of each person does
20 not exceed One Dollar (\$1.00), or local transportation of persons
21 within the corporate limits of a municipality except by taxicabs;

22 3. Sales for resale to persons engaged in the business of
23 reselling the articles purchased, whether within or without the
24 state, provided that such sales to residents of this state are made

1 to persons to whom sales tax permits have been issued as provided in
2 the Oklahoma Sales Tax Code. This exemption shall not apply to the
3 sales of articles made to persons holding permits when such persons
4 purchase items for their use and which they are not regularly
5 engaged in the business of reselling; neither shall this exemption
6 apply to sales of tangible personal property to peddlers, solicitors
7 and other salespersons who do not have an established place of
8 business and a sales tax permit. The exemption provided by this
9 paragraph shall apply to sales of motor fuel or diesel fuel to a
10 Group Five vendor, but the use of such motor fuel or diesel fuel by
11 the Group Five vendor shall not be exempt from the tax levied by the
12 Oklahoma Sales Tax Code. The purchase of motor fuel or diesel fuel
13 is exempt from sales tax when the motor fuel is for shipment outside
14 this state and consumed by a common carrier by rail in the conduct
15 of its business. The sales tax shall apply to the purchase of motor
16 fuel or diesel fuel in Oklahoma by a common carrier by rail when
17 such motor fuel is purchased for fueling, within this state, of any
18 locomotive or other motorized flanged wheel equipment;

19 4. Sales of advertising space in newspapers and periodicals;

20 5. Sales of programs relating to sporting and entertainment
21 events, and sales of advertising on billboards (including signage,
22 posters, panels, marquees or on other similar surfaces, whether
23 indoors or outdoors) or in programs relating to sporting and
24 entertainment events, and sales of any advertising, to be displayed

1 at or in connection with a sporting event, via the Internet,
2 electronic display devices or through public address or broadcast
3 systems. The exemption authorized by this paragraph shall be
4 effective for all sales made on or after January 1, 2001;

5 6. Sales of any advertising, other than the advertising
6 described by paragraph 5 of this section, via the Internet,
7 electronic display devices or through the electronic media including
8 radio, public address or broadcast systems, television (whether
9 through closed circuit broadcasting systems or otherwise), and cable
10 and satellite television, and the servicing of any advertising
11 devices;

12 7. Eggs, feed, supplies, machinery, and equipment purchased by
13 persons regularly engaged in the business of raising worms, fish,
14 any insect, or any other form of terrestrial or aquatic animal life
15 and used for the purpose of raising same for marketing. This
16 exemption shall only be granted and extended to the purchaser when
17 the items are to be used and in fact are used in the raising of
18 animal life as set out above. Each purchaser shall certify, in
19 writing, on the invoice or sales ticket retained by the vendor that
20 the purchaser is regularly engaged in the business of raising such
21 animal life and that the items purchased will be used only in such
22 business. The vendor shall certify to the Oklahoma Tax Commission
23 that the price of the items has been reduced to grant the full
24

1 benefit of the exemption. Violation hereof by the purchaser or
2 vendor shall be a misdemeanor;

3 8. Sale of natural or artificial gas and electricity, and
4 associated delivery or transmission services, when sold exclusively
5 for residential use. Provided, this exemption shall not apply to
6 any sales tax levied by a city or town, or a county or any other
7 jurisdiction in this state;

8 9. In addition to the exemptions authorized by Section 1357.6
9 of this title, sales of drugs sold pursuant to a prescription
10 written for the treatment of human beings by a person licensed to
11 prescribe the drugs, and sales of insulin and medical oxygen.
12 Provided, this exemption shall not apply to over-the-counter drugs;

13 10. Transfers of title or possession of empty, partially
14 filled, or filled returnable oil and chemical drums to any person
15 who is not regularly engaged in the business of selling, reselling
16 or otherwise transferring empty, partially filled or filled
17 returnable oil drums;

18 11. Sales of one-way utensils, paper napkins, paper cups,
19 disposable hot containers, and other one-way carry out materials to
20 a vendor of meals or beverages;

21 12. Sales of food or food products for home consumption which
22 are purchased in whole or in part with coupons issued pursuant to
23 the federal food stamp program as authorized by Sections 2011
24 through 2036d of Title 7 of the United States Code, as to that

1 portion purchased with such coupons. The exemption provided for
2 such sales shall be inapplicable to such sales upon the effective
3 date of any federal law that removes the requirement of the
4 exemption as a condition for participation by the state in the
5 federal food stamp program;

6 13. Sales of food or food products, or any equipment or
7 supplies used in the preparation of the food or food products to or
8 by an organization which:

9 a. is exempt from taxation pursuant to the provisions of
10 Section 501(c)(3) of the Internal Revenue Code of
11 1986, as amended, 26 U.S.C., Section 501(c)(3), and
12 which provides and delivers prepared meals for home
13 consumption to elderly or homebound persons as part of
14 a program commonly known as "Meals on Wheels" or
15 "Mobile Meals", or

16 b. is exempt from taxation pursuant to the provisions of
17 Section 501(c)(3) of the Internal Revenue Code of
18 1986, as amended, 26 U.S.C., Section 501(c)(3), and
19 which receives federal funding pursuant to the Older
20 Americans Act of 1965, as amended, for the purpose of
21 providing nutrition programs for the care and benefit
22 of elderly persons;

23 14. a. Sales of tangible personal property or services to or
24 by organizations which are exempt from taxation

1 pursuant to the provisions of Section 501(c)(3) of the
2 Internal Revenue Code of 1986, as amended, 26 U.S.C.,
3 Section 501(c)(3), and:

4 (1) are primarily involved in the collection and
5 distribution of food and other household products
6 to other organizations that facilitate the
7 distribution of such products to the needy and
8 such distributee organizations are exempt from
9 taxation pursuant to the provisions of Section
10 501(c)(3) of the Internal Revenue Code of 1986,
11 as amended, 26 U.S.C., Section 501(c)(3), or
12 (2) facilitate the distribution of such products to
13 the needy.

14 b. Sales made in the course of business for profit or
15 savings, competing with other persons engaged in the
16 same or similar business shall not be exempt under
17 this paragraph;

18 15. Sales of tangible personal property or services to
19 children's homes which are located on church-owned property and are
20 operated by organizations exempt from taxation pursuant to the
21 provisions of the Internal Revenue Code of 1986, as amended, 26
22 U.S.C., Section 501(c)(3);

23 16. Sales of computers, data processing equipment, related
24 peripherals, and telephone, telegraph or telecommunications service

1 and equipment for use in a qualified aircraft maintenance or
2 manufacturing facility. For purposes of this paragraph, "qualified
3 aircraft maintenance or manufacturing facility" means a new or
4 expanding facility primarily engaged in aircraft repair, building or
5 rebuilding, whether or not on a factory basis, whose total cost of
6 construction exceeds the sum of Five Million Dollars (\$5,000,000.00)
7 and which employs at least two hundred fifty new full-time-
8 equivalent employees, as certified by the Oklahoma Employment
9 Security Commission, upon completion of the facility. In order to
10 qualify for the exemption provided for by this paragraph, the cost
11 of the items purchased by the qualified aircraft maintenance or
12 manufacturing facility shall equal or exceed the sum of Two Million
13 Dollars (\$2,000,000.00);

14 17. Sales of tangible personal property consumed or
15 incorporated in the construction or expansion of a qualified
16 aircraft maintenance or manufacturing facility as defined in
17 paragraph 16 of this section. For purposes of this paragraph, sales
18 made to a contractor or subcontractor that has previously entered
19 into a contractual relationship with a qualified aircraft
20 maintenance or manufacturing facility for construction or expansion
21 of such a facility shall be considered sales made to a qualified
22 aircraft maintenance or manufacturing facility;

23 18. Sales of the following telecommunications services:
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- 1 a. interstate and international 800 service. "800
2 service" means a telecommunications service that
3 allows a caller to dial a toll-free number without
4 incurring a charge for the call. The service is
5 typically marketed under the name "800", "855", "866",
6 "877" and "888" toll-free calling, and any subsequent
7 numbers designated by the Federal Communications
8 Commission,
- 9 b. interstate and international 900 service. "900
10 service" means an inbound toll telecommunications
11 service purchased by a subscriber that allows the
12 subscriber's customers to call in to the subscriber's
13 prerecorded announcement or live service. 900 service
14 does not include the charge for: collection services
15 provided by the seller of the telecommunications
16 services to the subscriber, or service or product sold
17 by the subscriber to the subscriber's customer. The
18 service is typically marketed under the name "900"
19 service, and any subsequent numbers designated by the
20 Federal Communications Commission,
- 21 c. interstate and international private communications
22 service. "Private communications service" means a
23 telecommunications service that entitles the customer
24 to exclusive or priority use of a communications

- 1 channel or group of channels between or among
2 termination points, regardless of the manner in which
3 such channel or channels are connected, and includes
4 switching capacity, extension lines, stations and any
5 other associated services that are provided in
6 connection with the use of such channel or channels,
- 7 d. value-added nonvoice data service. "Value-added
8 nonvoice data service" means a service that otherwise
9 meets the definition of telecommunications services in
10 which computer processing applications are used to act
11 on the form, content, code or protocol of the
12 information or data primarily for a purpose other than
13 transmission, conveyance, or routing,
- 14 e. interstate and international telecommunications
15 service which is:
- 16 (1) rendered by a company for private use within its
17 organization, or
18 (2) used, allocated or distributed by a company to
19 its affiliated group,
- 20 f. regulatory assessments and charges including charges
21 to fund the Oklahoma Universal Service Fund, the
22 Oklahoma Lifeline Fund and the Oklahoma High Cost
23 Fund, and
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1 g. telecommunications nonrecurring charges including but
2 not limited to the installation, connection, change,
3 or initiation of telecommunications services which are
4 not associated with a retail consumer sale;

5 19. Sales of railroad track spikes manufactured and sold for
6 use in this state in the construction or repair of railroad tracks,
7 switches, sidings, and turnouts;

8 20. Sales of aircraft and aircraft parts provided such sales
9 occur at a qualified aircraft maintenance facility. As used in this
10 paragraph, "qualified aircraft maintenance facility" means a
11 facility operated by an air common carrier including one or more
12 component overhaul support buildings or structures in an area owned,
13 leased, or controlled by the air common carrier, at which there were
14 employed at least two thousand full-time-equivalent employees in the
15 preceding year as certified by the Oklahoma Employment Security
16 Commission and which is primarily related to the fabrication,
17 repair, alteration, modification, refurbishing, maintenance,
18 building, or rebuilding of commercial aircraft or aircraft parts
19 used in air common carriage. For purposes of this paragraph, "air
20 common carrier" shall also include members of an affiliated group as
21 defined by Section 1504 of the Internal Revenue Code of 1986, as
22 amended, 26 U.S.C., Section 1504. Beginning July 1, 2012, the
23 exemption shall include sales of machinery, tools, supplies,
24 equipment, and related tangible personal property and services used

1 or consumed in the repair, remodeling, or maintenance of aircraft,
2 aircraft engines or aircraft component parts which occur at a
3 qualified aircraft maintenance facility;

4 21. Sales of machinery and equipment purchased and used by
5 persons and establishments primarily engaged in computer services
6 and data processing:

7 a. as defined under Industry Group Numbers 7372 and 7373
8 of the Standard Industrial Classification (SIC)
9 Manual, latest version, which derive at least fifty
10 percent (50%) of their annual gross revenues from the
11 sale of a product or service to an out-of-state buyer
12 or consumer, and

13 b. as defined under Industry Group Number 7374 of the SIC
14 Manual, latest version, which derive at least eighty
15 percent (80%) of their annual gross revenues from the
16 sale of a product or service to an out-of-state buyer
17 or consumer.

18 Eligibility for the exemption set out in this paragraph shall be
19 established, subject to review by the Tax Commission, by annually
20 filing an affidavit with the Tax Commission stating that the
21 facility so qualifies and such information as required by the Tax
22 Commission. For purposes of determining whether annual gross
23 revenues are derived from sales to out-of-state buyers or consumers,

1 all sales to the federal government shall be considered to be to an
2 out-of-state buyer or consumer;

3 22. Sales of prosthetic devices to an individual for use by
4 such individual. For purposes of this paragraph, "prosthetic
5 device" shall have the same meaning as provided in Section 1357.6 of
6 this title, but shall not include corrective eye glasses, contact
7 lenses, or hearing aids;

8 23. Sales of tangible personal property or services to a motion
9 picture or television production company to be used or consumed in
10 connection with an eligible production. For purposes of this
11 paragraph, "eligible production" means a documentary, special, music
12 video or a television commercial or television program that will
13 serve as a pilot for or be a segment of an ongoing dramatic or
14 situation comedy series filmed or taped for network or national or
15 regional syndication or a feature-length motion picture intended for
16 theatrical release or for network or national or regional
17 syndication or broadcast. The provisions of this paragraph shall
18 apply to sales occurring on or after July 1, 1996. In order to
19 qualify for the exemption, the motion picture or television
20 production company shall file any documentation and information
21 required to be submitted pursuant to rules promulgated by the Tax
22 Commission;

23 24. Sales of diesel fuel sold for consumption by commercial
24 vessels, barges and other commercial watercraft;

1 25. Sales of tangible personal property or services to tax-
2 exempt independent nonprofit biomedical research foundations that
3 provide educational programs for Oklahoma science students and
4 teachers and to tax-exempt independent nonprofit community blood
5 banks headquartered in this state;

6 26. Effective May 6, 1992, sales of wireless telecommunications
7 equipment to a vendor who subsequently transfers the equipment at no
8 charge or for a discounted charge to a consumer as part of a
9 promotional package or as an inducement to commence or continue a
10 contract for wireless telecommunications services;

11 27. Effective January 1, 1991, leases of rail transportation
12 cars to haul coal to coal-fired plants located in this state which
13 generate electric power;

14 28. Beginning July 1, 2005, sales of aircraft engine repairs,
15 modification, and replacement parts, sales of aircraft frame repairs
16 and modification, aircraft interior modification, and paint, and
17 sales of services employed in the repair, modification, and
18 replacement of parts of aircraft engines, aircraft frame and
19 interior repair and modification, and paint;

20 29. Sales of materials and supplies to the owner or operator of
21 a ship, motor vessel, or barge that is used in interstate or
22 international commerce if the materials and supplies:
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- a. are loaded on the ship, motor vessel, or barge and used in the maintenance and operation of the ship, motor vessel, or barge, or
- b. enter into and become component parts of the ship, motor vessel, or barge;

30. Sales of tangible personal property made at estate sales at which such property is offered for sale on the premises of the former residence of the decedent by a person who is not required to be licensed pursuant to the Transient Merchant Licensing Act, or who is not otherwise required to obtain a sales tax permit for the sale of such property pursuant to the provisions of Section 1364 of this title; provided:

- a. such sale or event may not be held for a period exceeding three (3) consecutive days,
- b. the sale must be conducted within six (6) months of the date of death of the decedent, and
- c. the exemption allowed by this paragraph shall not be allowed for property that was not part of the decedent's estate;

31. Beginning January 1, 2004, sales of electricity and associated delivery and transmission services, when sold exclusively for use by an oil and gas operator for reservoir dewatering projects and associated operations commencing on or after July 1, 2003, in which the initial water-to-oil ratio is greater than or equal to

1 five-to-one water-to-oil, and such oil and gas development projects
2 have been classified by the Corporation Commission as a reservoir
3 dewatering unit;

4 32. Sales of prewritten computer software that is delivered
5 electronically. For purposes of this paragraph, "delivered
6 electronically" means delivered to the purchaser by means other than
7 tangible storage media;

8 33. Sales of modular dwelling units when built at a production
9 facility and moved in whole or in parts, to be assembled on-site,
10 and permanently affixed to the real property and used for
11 residential or commercial purposes. The exemption provided by this
12 paragraph shall equal forty-five percent (45%) of the total sales
13 price of the modular dwelling unit. For purposes of this paragraph,
14 "modular dwelling unit" means a structure that is not subject to the
15 motor vehicle excise tax imposed pursuant to Section 2103 of this
16 title;

17 34. Sales of tangible personal property or services to:

18 a. persons who are residents of Oklahoma and have been
19 honorably discharged from active service in any branch
20 of the Armed Forces of the United States or Oklahoma
21 National Guard and who have been certified by the
22 United States Department of Veterans Affairs or its
23 successor to be in receipt of disability compensation
24 at the one-hundred-percent rate and the disability

1 shall be permanent and have been sustained through
2 military action or accident or resulting from disease
3 contracted while in such active service and registered
4 with the veterans registry created by the Oklahoma
5 Department of Veterans Affairs, or

- 6 b. the surviving spouse of the person in subparagraph a
7 of this paragraph if the person is deceased and the
8 spouse has not remarried and the surviving spouse of a
9 person who is determined by the United States
10 Department of Defense or any branch of the United
11 States military to have died while in the line of duty
12 if the spouse has not remarried. Sales for the
13 benefit of an eligible person to a spouse of the
14 eligible person or to a member of the household in
15 which the eligible person resides and who is
16 authorized to make purchases on the person's behalf,
17 when such eligible person is not present at the sale,
18 shall also be exempt for purposes of this paragraph.
19 The Oklahoma Tax Commission shall issue a separate
20 exemption card to a spouse of an eligible person or to
21 a member of the household in which the eligible person
22 resides who is authorized to make purchases on the
23 person's behalf, if requested by the eligible person.
24 Sales qualifying for the exemption authorized by this

1 paragraph shall not exceed Twenty-five Thousand
2 Dollars (\$25,000.00) per year per individual while the
3 disabled veteran is living. Sales qualifying for the
4 exemption authorized by this paragraph shall not
5 exceed One Thousand Dollars (\$1,000.00) per year for
6 an unremarried surviving spouse. Upon request of the
7 Tax Commission, a person asserting or claiming the
8 exemption authorized by this paragraph shall provide a
9 statement, executed under oath, that the total sales
10 amounts for which the exemption is applicable have not
11 exceeded Twenty-five Thousand Dollars (\$25,000.00) per
12 year per living disabled veteran or One Thousand
13 Dollars (\$1,000.00) per year for an unremarried
14 surviving spouse. If the amount of such exempt sales
15 exceeds such amount, the sales tax in excess of the
16 authorized amount shall be treated as a direct sales
17 tax liability and may be recovered by the Tax
18 Commission in the same manner provided by law for
19 other taxes including penalty and interest. The Tax
20 Commission shall promulgate any rules necessary to
21 implement the provisions of this paragraph, which
22 shall include rules providing for the disclosure of
23 information about persons eligible for the exemption
24 authorized in this paragraph to the Oklahoma

1 Department of Veterans Affairs, as authorized in
2 Section 205 of this title. For purposes of the
3 exemption authorized by this subparagraph, if the
4 disability determination that would have been made
5 while the disabled veteran was still living is not
6 made final until after the death of the disabled
7 veteran, the exemption authorized by this subparagraph
8 may still be claimed by the surviving spouse;

9 35. Sales of electricity to the operator, specifically
10 designated by the Corporation Commission, of a spacing unit or lease
11 from which oil is produced or attempted to be produced using
12 enhanced recovery methods including, but not limited to, increased
13 pressure in a producing formation through the use of water or
14 saltwater if the electrical usage is associated with and necessary
15 for the operation of equipment required to inject or circulate
16 fluids in a producing formation for the purpose of forcing oil or
17 petroleum into a wellbore for eventual recovery and production from
18 the wellhead. In order to be eligible for the sales tax exemption
19 authorized by this paragraph, the total content of oil recovered
20 after the use of enhanced recovery methods shall not exceed one
21 percent (1%) by volume. The exemption authorized by this paragraph
22 shall be applicable only to the state sales tax rate and shall not
23 be applicable to any county or municipal sales tax rate;

1 36. Sales of intrastate charter and tour bus transportation.

2 As used in this paragraph, "intrastate charter and tour bus
3 transportation" means the transportation of persons from one
4 location in this state to another location in this state in a motor
5 vehicle which has been constructed in such a manner that it may
6 lawfully carry more than eighteen persons, and which is ordinarily
7 used or rented to carry persons for compensation. Provided, this
8 exemption shall not apply to regularly scheduled bus transportation
9 for the general public;

10 37. Sales of vitamins, minerals, and dietary supplements by a
11 licensed chiropractor to a person who is the patient of such
12 chiropractor at the physical location where the chiropractor
13 provides chiropractic care or services to such patient. The
14 provisions of this paragraph shall not be applicable to any drug,
15 medicine, or substance for which a prescription by a licensed
16 physician is required;

17 38. Sales of goods, wares, merchandise, tangible personal
18 property, machinery, and equipment to a web search portal located in
19 this state which derives at least eighty percent (80%) of its annual
20 gross revenue from the sale of a product or service to an out-of-
21 state buyer or consumer. For purposes of this paragraph, "web
22 search portal" means an establishment classified under North
23 American Industry Classification System (NAICS) code 519130 which
24 operates websites that use a search engine to generate and maintain

1 extensive databases of Internet addresses and content in an easily
2 searchable format;

3 39. Sales of tangible personal property consumed or
4 incorporated in the construction or expansion of a facility for a
5 corporation organized under Section 437 et seq. of Title 18 of the
6 Oklahoma Statutes as a rural electric cooperative. For purposes of
7 this paragraph, sales made to a contractor or subcontractor that has
8 previously entered into a contractual relationship with a rural
9 electric cooperative for construction or expansion of a facility
10 shall be considered sales made to a rural electric cooperative;

11 40. Sales of tangible personal property or services to a
12 business primarily engaged in the repair of consumer electronic
13 goods including, but not limited to, cell phones, compact disc
14 players, personal computers, MP3 players, digital devices for the
15 storage and retrieval of information through hard-wired or wireless
16 computer or Internet connections, if the devices are sold to the
17 business by the original manufacturer of such devices and the
18 devices are repaired, refitted or refurbished for sale by the entity
19 qualifying for the exemption authorized by this paragraph directly
20 to retail consumers or if the devices are sold to another business
21 entity for sale to retail consumers;

22 41. On or after July 1, 2019, and prior to July 1, 2024, sales
23 or leases of rolling stock when sold or leased by the manufacturer,
24 regardless of whether the purchaser is a public services corporation

1 engaged in business as a common carrier of property or passengers by
2 railway, for use or consumption by a common carrier directly in the
3 rendition of public service. For purposes of this paragraph,
4 "rolling stock" means locomotives, autocars, and railroad cars and
5 "sales or leases" includes railroad car maintenance and retrofitting
6 of railroad cars for their further use only on the railways;

7 42. Sales of gold, silver, platinum, palladium or other bullion
8 items such as coins and bars and legal tender of any nation, which
9 legal tender is sold according to its value as precious metal or as
10 an investment. As used in the paragraph, "bullion" means any
11 precious metal including, but not limited to, gold, silver,
12 platinum, and palladium, that is in such a state or condition that
13 its value depends upon its precious metal content and not its form.
14 The exemption authorized by this paragraph shall not apply to
15 fabricated metals that have been processed or manufactured for
16 artistic use or as jewelry;

17 43. Recovery fees on the rental charge from any item of heavy
18 equipment property rental as provided for in Section 2807.11 of this
19 title; ~~and~~

20 44. Sales of firearm safety devices and gun safety devices. As
21 used in this paragraph:

- 22 a. "firearm safety device" means a gun safe, gun case,
23 gun lock box, trigger lock, barrel lock, or other
24 device that is designed to be used to store a firearm

1 and that is designed to be unlocked only by means of a
2 key, combination, or other similar means, and

3 b. "gun safety device" means any integral device to be
4 equipped or installed on a firearm that permits a user
5 to program the firearm to operate only for specified
6 persons designated by the user through computerized
7 locking devices or other means integral to and
8 permanently part of the firearm; and

9 45. Sales of frack water, when sold to a person or entity
10 engaged in the exploration for, drilling of, or production of oil or
11 gas, for use in hydraulic fracturing or other well completion or
12 stimulation operations. This exemption shall apply only to sales of
13 frack water for direct use in such operations and shall not apply to
14 sales of water for any other purpose. For the purposes of this
15 exemption, frack water means water, including fresh water, brackish
16 water, or produced water, that is sold for use in hydraulic
17 fracturing or other well completion or stimulation operations in
18 connection with the exploration for, drilling of, or production of
19 oil or gas.

20 SECTION 2. This act shall become effective November 1, 2026.
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1 Passed the House of Representatives the 23rd day of March, 2026.

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3 _____
4 Presiding Officer of the House
5 of Representatives

6 Passed the Senate the _____ day of _____, 2026.

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8 _____
9 Presiding Officer of the Senate